

Japan: BOP: May Inbound Spending Down YoY for Second Month; Foreign Investors Large Net Sellers of Japan Equities and Bonds in June

BOTTOM LINE: Japan's current account balance came in at a surplus of +¥4.0 tn in May, with the surplus up 19.5% from +¥3.3 tn in May 2025. Inbound spending by foreign visitors in May fell -11.2% yoy, marking the second consecutive month of yoy decline. The primary income surplus remained at a high level. In June, domestic investors were net buyers of foreign bonds, but net sellers of foreign equities for the third consecutive month, and foreign investors were large net sellers of both Japanese equities and bonds.

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KEY NUMBERS:

- May current account balance: +¥4.0 tn vs. GS forecast: +¥4.0 tn, BBG: +¥4.1 tn, May 2025: +¥3.3 tn
- Seasonally adjusted CA balance: May: +¥3.1 tn, April: +¥4.2 tn

Inbound Spending Down YoY for Second Consecutive Month

According to the May balance of payments data (non-adjusted) from the Ministry of Finance (MOF), the current account came in at a surplus of +¥4.0 tn, with the surplus up +19.5% from +¥3.3 tn in May 2025. While import value rose +8.1% yoy, export value rose +14.7% yoy, and as a result, the trade balance turned to a small surplus of +¥6.9 bn, from a deficit of -¥497.1 bn in May 2025.

Travel receipts in the services account, which reflect foreign visitors' inbound spending, came in at ¥764.9 bn, down -11.2% from ¥862.0 bn in the prior year. This marks the second consecutive month of yoy decline. According to statistics on the number of foreign visitors, for which a breakdown by country/region is available, visitors from mainland China continued to fall sharply in May at -60.4% yoy, but visitors from South Korea (+15.2%), Taiwan (+14.5%), Singapore (+21.1%), the US (+7.0%), and the UK (+6.0%) increased, among others. As a result, the overall number of visitors fell -3.6% yoy in May (April: -5.5%).

Primary Income Surplus Remains High

The primary income balance, which mainly reflects earnings from overseas assets, came in at a surplus of +¥4.3 tn in May, a slight increase from the +¥4.2 tn surplus in the prior year. A breakdown shows that dividend receipts and bond interest receipts on securities investments, which account for the majority of investment income, both increased. On the other hand, direct investment income, such as dividend receipts from overseas subsidiaries, declined to ¥2.2 tn, from ¥2.5 tn in the same month of the previous year. Deteriorating earnings at overseas subsidiaries due to the situation in the Middle East may be a factor behind the lower repatriation to parent

companies.

The seasonally adjusted current account surplus for April-May was 6.5% of GDP (annualized; January-March: 5.8%).

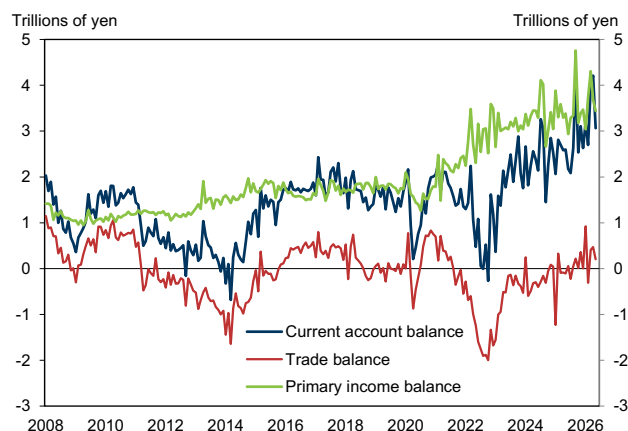
Domestic Investors Net Buyers of Foreign Bonds, Net Sellers of Foreign Equities for Third Straight Month in June; Foreign Investors Large Net Sellers of Japanese Equities and Bonds

The MOF also announced international securities transactions data for June. **Domestic investors were small net sellers of foreign medium- to long-term bonds** at -¥18.0 bn (May: +¥3.1 tn). However, excluding net transactions by banks' banking accounts (which are volatile and mostly foreign currency-funded and were net sellers of ¥2.0 tn), net buying was +¥2.0 tn. A breakdown of foreign bond investments by investor type showed that trust banks (including pension funds) were net buyers at +¥1.5 tn in June, following net purchases of +¥3.2 tn in May (the largest net purchase amount for a single month since comparable data became available in 2005). Life insurers (-¥41.3 bn) and investment trusts (-¥120.0 bn) both turned net sellers for the first time in two months.

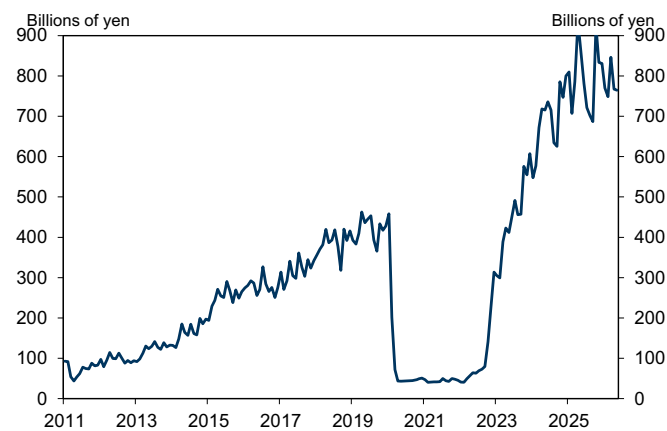
On the other hand, **domestic investors were net sellers of foreign equities** for the third consecutive month, albeit marginally, at -¥51.2 bn (May: -¥2.7 tn). Trust banks (trust accounts) were large net sellers for the third consecutive month, at -¥1.3 tn. Meanwhile, life insurers (+¥111.3 bn) were net buyers for the third consecutive month, and investment trusts (+¥766.6 bn) continued their streak of net purchases since April 2023.

Meanwhile, **foreign investors turned net sellers of Japanese equities** for the first time in three months in June, at -¥3.0 tn (May: +¥2.9 tn). In addition, foreign investors were net sellers of Japanese medium- to long-term bonds for the first time in nine months, at -¥2.5 tn.

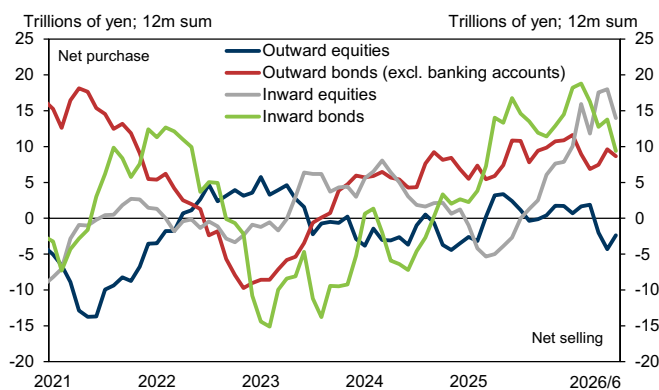
Looking at **net overall capital flows** through portfolio investment in June, funds flowed out via inward securities transactions by ¥9.6 tn (with foreign investors net sellers of Japanese securities), and flowed out via outward securities transactions by ¥126.2 bn (with Japanese investors net buyers of foreign securities), making for an overall capital outflow of ¥9.7 tn (May: inflow of ¥2.9 tn).

Exhibit 1: Current Account, Trade, and Primary Income Balances (Seasonally Adjusted)

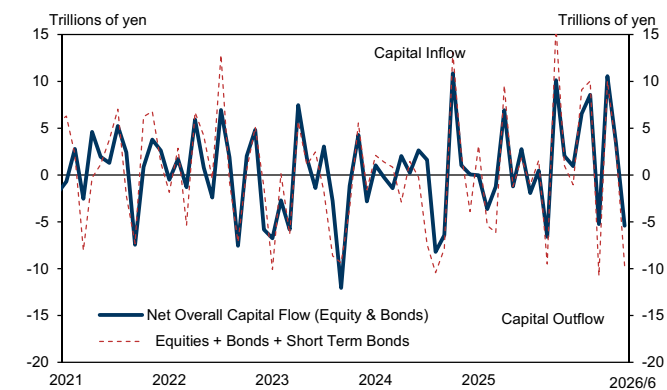
Source: BoJ

Exhibit 2: Travel Account Receipts

Source: BoJ

Exhibit 3: Inward - Outward Security Investments

Source: Ministry of Finance

Exhibit 4: Capital Flow Through Portfolio Investment

Source: Ministry of Finance

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